

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-12

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC.

V.

MSC MEDITERRANEAN SHIPPING COMPANY SA

**JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT**

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY”), and Respondent MSC Mediterranean Shipping Company SA (“MSC” and, collectively with BBBY, the “Parties”) submit this joint motion for approval of the Confidential Settlement Agreement (the “Agreement”) filed under seal concurrently herewith. The Parties believe that the Agreement meets the criteria set by the Federal Maritime Commission (the “FMC” or the “Commission”) for approval of settlement agreements and therefore should be approved.

I. INTRODUCTION

This proceeding began when BBBY filed a verified complaint on November 20, 2023, alleging that MSC had violated the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.*, by engaging in unjust and unreasonable practices including (1) systematically breaching its service commitments to BBBY under certain of the Parties’ service contracts, (2) coercing BBBY to pay premium prices and extracontractual surcharges as a precondition to MSC meeting even a portion of its existing contractual service commitments, and (3) assessing detention and demurrage penalties for periods of time during which BBBY’s ability to pick up and return

containers was constrained by circumstances outside BBY's control. BBY sought reparations for the injuries caused by MSC's alleged conduct. MSC entirely denied BBY's allegations, and more generally, any violation of the Shipping Act of 1984. After filing a Partial Motion to Dismiss, which the Presiding Officer granted on March 25, 2024, MSC filed its Answer to BBY's complaint on April 4, 2024.

The Parties subsequently established a procedural schedule and undertook discovery. The Parties also engaged in settlement negotiations in 2024 and 2025, which resulted in the Agreement accompanying this motion.

II. REQUEST FOR APPROVAL OF THE CONFIDENTIAL SETTLEMENT AGREEMENT

In assessing settlement agreements, the Commission has established “a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’” *Aeneas Exporting LLC v. Carlo Shipping International Inc.*, FMC Dkt. No. 20-11, 2020 WL 5037329, at *1 (FMC ALJ Aug. 24, 2020) (quoting *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (FMC ALJ 2002)). Moreover, “if it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, FMC Dkt. Nos. 88-2, 88-4, 1988 WL 340657, at *7 (FMC ALJ Aug. 12, 1988).

The Parties are both sophisticated corporate entities and reached the Agreement through robust negotiations, with the Agreement “reflect[ing] careful consideration of the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R.

623, 636 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd.*, 1988 WL 340657, at *7). The Agreement does not contravene any law or public policy, and it is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. The Agreement is a fair and reasonable resolution of the dispute between the Parties and reflects their mutual desire to resolve their issues without the need for costly litigation. For these reasons, the Parties respectfully request that the Agreement be approved and, on that basis, the verified complaint in this matter be dismissed with prejudice.

III. REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The Commission routinely affords confidential treatment to settlement agreements under 46 C.F.R. Section 502.5, given that they “often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16-02, 1 F.M.C.2d 135, 137 (FMC May 22, 2018). Accordingly, “[i]f parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Marine Transp. Logistics, Inc., v. CMA-CGM (Am.) LLC*, FMC Dkt. No. 18-07, 2 F.M.C.2d 31, 33 (FMC ALJ Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. & Forwarding Servs., Inc.*, FMC Dkt. No. 00-04, 29 S.R.R. 68, 70 n.7 (FMC ALJ Dec. 14, 2000)).

The Agreement is the result of confidential negotiations between the Parties, and the Parties therefore jointly and respectfully request leave to file the Agreement under seal for review and approval, and that the Agreement thereafter continue to be afforded confidential treatment by the Commission.

IV. CONCLUSION

The Agreement comprehensively addresses the issues relating to the above-referenced proceeding and meets the Commission's well-established criteria for approval of agreements settling administrative litigation and should therefore be approved and, upon such approval, FMC Docket No. 23-12 should be discontinued in its entirety.

Dated: March 12, 2025

Respectfully submitted,

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ATTACHMENT TO JOINT MOTION FOR APPROVAL OF
CONFIDENTIAL SETTLEMENT AGREEMENT

(PUBLIC VERSION)

CONFIDENTIAL VERSION PROVIDED TO PRESIDING OFFICER AND COMMISSION
SECRETARY PURSUANT TO 46 C.F.R. §§ 502.5(a)(2)(i) AND 502.2